

Question #1 of 22

Question ID: 1586386

According to the Code of Ethics, which of the following statements is *NOT* correct? CFA Institute members are required to:

- A)** comply with the CFA Institute Global Investment Performance Standards.
 - B)** use reasonable care and exercise independent professional judgment.
 - C)** maintain and improve their competence and strive to maintain the competence of others in the profession.
-

Question #2 of 22

Question ID: 1586389

According to the CFA Institute Code of Ethics, CFA Institute members shall:

- A)** preserve the confidentiality of information communicated by clients, prospects, or employers concerning investment matters.
 - B)** act with integrity, competence, diligence, respect, and in an ethical manner when dealing with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
 - C)** maintain knowledge and comply with all applicable laws, rules and regulations.
-

Question #3 of 22

Question ID: 1586397

The Code of Ethics does *NOT* explicitly say that a CFA Institute member shall do which of the following?

- A)** Exercise independent professional judgment.
 - B)** Actively lobby for new laws to protect the public.
 - C)** Act with integrity.
-

Question #4 of 22

Question ID: 1586388

Which of the following is a component of the Code of Ethics?

- A) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.
 - B) Members and candidates must not engage in conduct that compromises the integrity of the CFA designation or the security of the CFA examinations.
 - C) Transactions for clients and employers have priority over transactions in which a member or candidate is the beneficial owner.
-

Question #5 of 22

Question ID: 1586392

All of the following are components of the Code of Ethics *EXCEPT*:

- A) demonstrating diligence, independence, and thoroughness when preparing investment reports.
 - B) using reasonable care and exercising independent professional judgment.
 - C) striving to maintain and improve their competence and the competence of others in the profession.
-

Question #6 of 22

Question ID: 1586379

The CFA Institute Code of Ethics *least likely* requires a Member or Candidate to:

- A) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.
 - B) Strive to maintain and improve the competence of others in the profession.
 - C) Understand and comply with all applicable laws, rules, and regulations.
-

Question #7 of 22

Question ID: 1586382

In dealing with the public and others, the CFA Institute Code of Ethics requires that CFA Institute members act with:

- A)** candor, skill, and honor.
 - B)** honesty, professionalism, and high ethical standards.
 - C)** integrity, competence, and respect.
-

Question #8 of 22

Question ID: 1586393

Which of the following is *least likely* to be a reason for imposing a suspension on a member or candidate?

- A)** Discussing a question from the CFA exams on social media.
 - B)** Failing to return the annual professional conduct statement.
 - C)** Misdemeanor charge for possession of narcotics.
-

Question #9 of 22

Question ID: 1586387

According to the Code of Ethics, when practicing in a professional and ethical manner the goal is to:

- A)** resolve conflicts between clients and employers.
 - B)** reflect credit on members and the profession.
 - C)** increase membership in CFA Institute.
-

Question #10 of 22

Question ID: 1586390

According to the Code of Ethics, a member reflects credit on the profession when a member:

- A)** practices in a professional and ethical manner.
- B)** consults with other members on a regular basis.
- C)** places the clients first.

Question #11 of 22

Question ID: 1586384

The CFA Institute Code of Ethics specifies that CFA Institute Members and Candidates must do all of the following *EXCEPT*:

- A) use reasonable care and exercise independent professional judgment when engaging in professional activities.
 - B) refrain from any conduct that compromises the reputation or integrity of the CFA designation.
 - C) act with integrity, competence, diligence, respect, and in an ethical manner.
-

Question #12 of 22

Question ID: 1586381

Which of the following is *least likely* a component of the Code of Ethics? In dealing with the public, clients, prospects, employers, employees, and fellow members, CFA Institute members shall act with:

- A) respect.
 - B) integrity.
 - C) humility.
-

Question #13 of 22

Question ID: 1586378

Which of the following is *least likely* part of the CFA Institute Code of Ethics?

- A) Independent judgment.
 - B) Contractual provisions.
 - C) Competence.
-

Question #14 of 22

Question ID: 1586391

Which of the following is a component of the Code of Ethics?

- A)** Members shall use reasonable care and exercise independent professional judgment.
 - B)** Members shall not knowingly participate or assist in any violation of such laws, rules, or regulations.
 - C)** Members shall not engage in any professional conduct involving dishonesty, fraud, deceit, or misrepresentation or commit any act that reflects adversely on their honesty, trustworthiness, or professional competence.
-

Question #15 of 22

Question ID: 1586398

According to the Standards of Professional Conduct, investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner. This concept is *most* directly addressed in:

- A)** Standard I, Professionalism
 - B)** Standard V, Investment Analysis, Recommendations, and Actions
 - C)** Standard VI, Conflicts of Interest
-

Question #16 of 22

Question ID: 1586385

In accordance with Standard III (A) Loyalty, Prudence and Care, which of the following statements is *NOT* a required or recommended action?

- A)** Submit to clients, at least quarterly, itemized statements detailing all of the period's transactions.
 - B)** Vote all proxies on behalf of clients in a responsible manner.
 - C)** Utilize client brokerage to the sole benefit of the client.
-

Question #17 of 22

Question ID: 1586394

Liam McCoy has lunch with a wealthy client whose portfolio he manages. McCoy advises the client to double his current position in the JKM Corporation due to an anticipated increase in sales. In accordance with Standard (V) Investment Analysis, Recommendations and Actions, when McCoy returns to his office he should:

- A) verify the suitability of the investment recommendation before placing the client's order.
 - B) document the details of the conversation with the client with regard to his investment recommendation.
 - C) identify other clients for whom JKM may be a suitable investment and notify them immediately of his recommendation.
-

Question #18 of 22

Question ID: 1586380

Which of the following is a component of the *Code of Ethics*? CFA Institute members shall:

- A) use particular care in determining applicable fiduciary duty.
 - B) use reasonable care and exercise independent professional judgment.
 - C) not knowingly participate or assist in any violation of laws, rules, or regulations.
-

Question #19 of 22

Question ID: 1586377

The first component of the Code of Ethics does *NOT* explicitly say that a CFA Institute member will act in a certain manner with respect to which of the following groups?

- A) Prospective clients.
 - B) CFA Institute members and candidates in the CFA Program.
 - C) Colleagues.
-

Question #20 of 22

Question ID: 1586395

Which of the following activities would be following a component of the Code of Ethics explicitly?

- A) Consulting with colleagues about opinions you reach in your research.
 - B) Maintaining a list of colleagues who have violated the CFA Institute standards.
 - C) Attending continuing education seminars on investing and inviting colleagues to come along.
-

Question #21 of 22

Question ID: 1586396

John Elliot, CFA, says that in issues of ethics he always puts the clients first according to the guidelines in the *Code of Ethics*. In doing so he is:

- A) not correct, because no such ordering or priority is given in the Code.
 - B) not correct, because his first duty is to the public.
 - C) correct.
-

Question #22 of 22

Question ID: 1586383

Which of the following is a component of the *Code of Ethics*? CFA Institute members shall:

- A) make reasonable efforts to detect and prevent violations by those who are under their supervision.
- B) disclose to their employer all matters that reasonably could be expected to interfere with their duty to their employer or ability to make unbiased and objective recommendations.
- C) strive to maintain and improve their competence and the competence of others in the profession.